

14. Competitive Rivalry

Number of competitors in the industry	A few (geography-wise micro markets matter)
How concentrated is the industry?	Moderately dilute
Differences in product quality	Minor difference in liquid milk
Cost of switching products	Habit
Is the industry growing?	Moderate growth
Overcapacity in the industry	Seasonal
Fixed costs in the industry	Medium
Exit barriers in the industry	Low
Basis of competition in the industry	Competition based on advertising and new products

Low competitive rivalry exists. Competition is favourable as price competition is not too high. Basis of competition allows the industry to grow.

15. Return on equity and DuPont analysis

Parag Milk Foods	2015	2016	2017	2018	2019
PAT Margin	2.21%	2.29%	0.31%	4.45%	5.04%
Asset Turnover	3.06x	2.44x	2.81x	2.57x	2.86x
Leverage	3.8	1.87	0.98	1.07	1.02
ROE	25.69%	10.45%	0.86%	12.24%	14.62%
ROA	23.94%	22.37%	14.91%	25.92%	26.84%
Dividend Payout	0%	0%	88%	7%	7%
SGR	25.69%	10.45%	0.11%	11.42%	13.82%